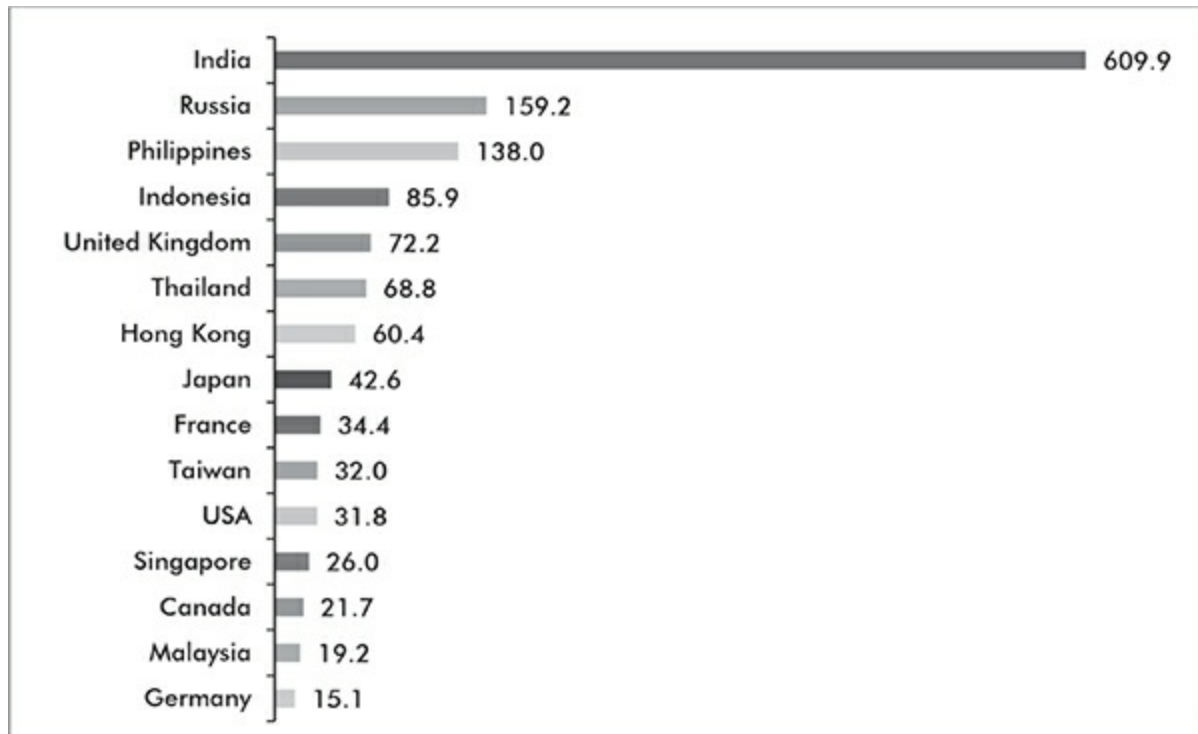


Exhibit 38: Affordability as measured by price/square metre as a multiple of GDP per capita [2016]⁷



Source: Global Property Guide

Another measure of affordability is rental yields, i.e. the rent from the property divided by the price of the property. The exhibit below shows that at 2.4 per cent, Indian rental yield is among the lowest in the world. A 2.4 per cent rental yield means that for a property worth Rs 1 crore, the annual rent that the house owner gets is Rs 20,000 per month or Rs 2.4 lakh per annum. While commercial rental yields have always been higher, residential yields have been traditionally lower because of an in-built expectation of property appreciation.

This also has to be seen in the context of underlying interest rates in the countries. For most developed countries, rental yields are far higher than their policy or ten-year government bond rates. In India, it is the reverse. Ten-year bond yields vary in the range of 6 to 7 per cent in India compared to the 2.4 per cent rental yield.